

The Complete Financial Guide for Young Couples

MUTUAL FUNDS: A mutual fund is an investment where many small investors pool their money and a group of professional advisers invest it for them, usually in the stock or bond markets. There are specialized mutual funds that invest in automobiles, precious metals, utility companies, government securities, and so forth. You can find a mutual fund for almost any area that you want to invest in.

Mutual funds are valuable for the small investor for several reasons: (1) you can risk a relatively small amount of money—many mutual funds require as little as \$25 to invest; (2) your money is spread over a large area in the economy; and (3) the return on good mutual funds has averaged more than twice the prevailing interest rates for any 10-year period.

I would encourage any potential investor in mutual funds to go to independent sources and check out the fund first. There are two sources that I use regularly and would highly recommend: *Money* magazine and *Consumer Reports*. Both put out an annual review of mutual funds.

As a Christian, you need to be aware that some mutual funds invest in areas that are questionable and some that are blatantly anti-Christian, including pornography, liquor, and abortion clinics. You should get a prospectus from the mutual fund that you're considering and find out where your money is going.

Another type of mutual fund invests in the bond market. These are primarily designed for income, obviously. I prefer mutual bond funds over buying individual corporate bonds because you spread out the risk. The funds invest in many corporations, and the failure of one corporation is not going to significantly affect their (or your) income.

There are differences in the fee structure for mutual funds. Some are called "loaded funds"; others are "no-load funds." A loaded fund means they require the service cost or commission to be paid upfront. A no-load fund means they recover the fees over a number of years. These fees can be quite substantial. If you don't plan to leave your money in a mutual fund for at least five years, you probably should not get into one.